

FINANCE 4 TEENS: FINANCIAL VOCABULARY GUIDE

Name: _____

Date: _____

BUDGETING & SAVING

Budget

A plan for how you will use your money over a certain period of time.

Income

Money that you receive, such as money from a job, allowance, or other sources.

Expense

Money that you spend.

Need

Something that is necessary, such as food, housing, or transportation.

Want

Something you would like to have but do not necessarily need.

Savings

Money that you set aside instead of spending.

Emergency Fund

Money saved to help pay for unexpected expenses.

Financial Goal

A specific money-related outcome that you want to achieve.

CREDIT

Credit

The ability to borrow money or use a service with an agreement to pay later.

Credit Score

A number based on information in your credit history that helps lenders evaluate how likely you are to repay borrowed money.

Credit Report

A record of information about your credit accounts and credit history.

Credit Limit

The maximum amount you can borrow on a credit account.

Credit Utilization

The percentage of your available revolving credit that you are currently using.

Payment History

A record of whether you have made required credit payments on time.

INTEREST & DEBT

Debt

Money that you owe to another person or organization.

Loan

Money that you borrow and agree to repay.

Principal

The original amount of money borrowed or invested.

Interest

The cost of borrowing money or the amount earned from saving or investing money.

Simple Interest

Interest calculated based on the original principal.

Compound Interest

Interest calculated on the principal and previously accumulated interest.

Interest Rate

The percentage used to calculate interest.

Repayment

The process of paying borrowed money back.

COLLEGE COSTS

Tuition

The amount a college charges for instruction.

Cost of Attendance

An estimate of the total cost of attending a college, including expenses such as tuition, housing, food, books, and supplies.

Financial Aid

Money or other assistance that helps students pay for education.

Scholarship

Financial assistance that generally does not need to be repaid and may be awarded based on achievement, interests, talents, or other qualifications.

Grant

Financial assistance that generally does not need to be repaid and is often based on financial need.

FAFSA

The Free Application for Federal Student Aid. It is used to apply for federal student aid and can also be used by states and colleges to determine eligibility for certain types of aid.

Work-Study

A program that can provide eligible students with opportunities to earn money through part-time employment while attending school.

Net Price

The amount a student is expected to pay after grants and scholarships are subtracted from the total cost of attendance.

QUICK REVIEW

Write the correct term next to each definition.

1. _____

A plan for how you will use your money.

2. _____

Money that you owe to another person or organization.

3. _____

The original amount of money borrowed or invested.

4. _____

The cost of borrowing money.

5. _____

A number based on information in your credit history.

6. _____

Money set aside instead of spent.

7. _____

Financial assistance that generally does not need to be repaid.

8. _____

The estimated amount a student pays after grants and scholarships.

MY NEW FINANCIAL TERMS

Write down two terms that were new or confusing to you.

Term 1: _____

What does it mean?

Term 2: _____

What does it mean?

REFLECTION

Which financial topic do you understand better after completing the Finance 4 Teens lessons?

Which financial topic do you still want to learn more about?

Why is understanding financial vocabulary important?

Finance 4 Teens

Girl Scout Gold Award Project